

Higher Priced Mortgage Loans (HPML)

OVERVIEW

Higher Priced Mortgage Loans (HPML) are defined as consumer-purpose, closed-end loans secured by a consumer's principal dwelling that have an annual percentage rate (APR) equal to or greater than the Average Prime Offer Rate (APOR) by 1.5 percentage points for first-lien loans, or 3.5 percentage points for subordinate-lien loans for a comparable transaction. For example:

- If the APR on a first lien transaction is equal to or greater than APOR + 1.5%, the loan will be considered a Higher Priced Mortgage Loan.
- If the APR on a subordinate lien transaction is equal to or greater than APOR + 3.5%, the loan will be considered a Higher Priced Mortgage Loan.

The Average Prime Offer Rate (APOR) is published by the Board of Governors of the Federal Reserve System once per week. The APOR for the week the interest rate is locked is the APOR that must be used to determine if a loan is a Higher Priced Mortgage Loan (HPML).

Certain products are eligible to be closed as a Higher Priced Mortgage Loan (HPML).

- If the APR on a loan falls into the HPML category, the product must be eligible in order to close and fund.
- If the product is ineligible, the APR must be reduced in order to close and fund.

EFFECTIVE DATE

The rule was effective for all mortgage applications taken on or after October 1, 2009.

ELIGIBLE PRODUCTS

Certain products may be closed as a higher priced mortgage loan. Eligible products, including the 5427 Advantage will not have any system restrictions at the time of locking the interest rate, clear to close status in Underwriting, etc. Please refer to the ineligible product section to determine if a product is eligible or ineligible. Please note, loans that are considered Higher Priced Mortgage Loans (HPML) will not be eligible for an Escrow Waiver.

INELIGIBLE PRODUCTS

Loans with the following characteristics are not eligible to close as a Higher Priced Mortgage Loan (HPML). These loans may close below the maximum allowable APR so that the loan is not considered HPML.

Additional products may be ineligible due to the ATR/QM rule. Please refer to the Qualified Mortgage section within *Compliance*, [Doc. #4801](#) for specific products.

- Adjustable Rate Mortgage (ARM) – Conventional & Government
 - 5/1 ARM5/6 SOFR ARM
 - 7/6 SOFR ARM10/6 SOFR ARM
- Government Streamline Refinance
 - FHA Streamline with appraisal (non-credit qualified loans)
 - FHA Streamline without appraisal (non-credit qualified loans)
 - VA Interest Rate Reduction Refinance Loan (IRRRL)
- Any loan with a pre-payment penalty
- Second Mortgage loans

SYSTEM BLOCKS FOR INELIGIBLE PRODUCTS

The Loantrac system will restrict a user in the following situations:

- Rate Lock – On ineligible products if APR exceeds the max HPML APR then the loan will not lock and will be returned to the previous status before the attempted lock (i.e. floating, expired, lock extension, etc.)
- Final Approval Clear to Close Status – On ineligible products, if the max HPML APR exceeds, then the Underwriter will be unable to place the loan in a Final Approval Clear to Close status until the HPML APR is at or below the maximum HPML APR.
- Closing Documents (WBCD) – User will be able to draw closing documents from WBCD, however an error message will be displayed referencing a *Section 35* error. The user will be unable to continue until the HPML APR is at or below the maximum HPML APR.
- Funding – User will be unable to request funding until the HPML APR is at or below the maximum HPML APR.

When locking loans all fees should be accurate to ensure a valid lock. If fees change after locking the loan and a HPML error is present, the error can only be fixed by:

- Reducing the interest rate (may result in a worst-case pricing scenario)
- Reducing or removing originator fees, if applicable (i.e. origination, points)
- Apply lender credits

Ineligible products will display the maximum allowable APR on the following screens in Loantrac:

- Registration Confirmation
- Disclosure Compliance
- Underwriting Condition (prior to or at close)

CORRESPONDENT LOCK-IN DATE

A field is available upon initial lock and in the Lock Extension module that will allow correspondents to input a "true" lock in date in instances where a correspondent confirms a lock-in with the borrower on a different day than it is locked in Loantrac. This will ensure the correct APOR is used when identifying if the loan is a Higher Priced Mortgage Loan.